IN THE NATIONAL COMPANY LAW TRIBUNAL
BENGALURU BENCH

CP (CAA) No.73/BB/17

Under Section 391 to 394 of Companies Act, 1956 &
Section 230 to 232 of Companies Act, 2013

IN THE MATTER OF
ACCORD SOFTWARE & SYSTEMS PRIVATE LIMITED
ACCORD GLOBAL TECHNOLOGY SOLUTIONS PRIVATE LIMITED
AND
ACCORD IDEATION PRIVATE LIMITED

Order delivered on: 27th March, 2018

Coram: Hon'ble Shri Ratakonda Murali, Member (Judicial)
Hon'ble Shri Ashok Kumar Mishra, Member (Technical)

For the Petitioner (s) 1. VGB Associates
No.23, Vasupuram, 3rd Floor,
Muniswamy Road, Shivajinagar,
Bengaluru-560051
2. Prema Hatti, Central Gov.Standing Counsel

Per: Hon'ble Shri Ratakonda Murali, Member (Judicial)

Heard on: 7.11.2017, 13.11.2017, 16.11.2017, 24.11.2017, 8.1.2018, 5.2.2018, 8.2.2018, 5.3.2018, 15.3.2018

COMMON ORDER

This Company Petition was filed on behalf of the Petitioner Companies under Section 230-232 of the Companies Act, 2013 read with Companies (Compromises, Arrangement and Amalgamation) Rules, 2016, praying to order for sanctioning of the scheme of Arrangement whereby Global Services Division of Accord Software & Systems Private Limited are proposed to be demerged into Accord Global Technology Solutions Private Limited and Accord Ideation Private Limited and shall be binding upon all the Shareholders and Creditors of the Companies.

The averments made in the Company Petitions are briefly described hereunder:

The Petitioner Companies seek an order for sanctioning the Scheme of Arrangement of Accord Software & Systems Private Limited (Demerged Company), Accord global

Technology Solutions Private Limited (Resulting Company No.1) and Accord Ideation Private Limited (Resulting Company No.2). The Scheme of Arrangement is shown as **Annexure-A.**

The Petitioner Company No.1/Demerged Company was incorporated on 17th December, 1991 under the name and style of Accord Software & Systems Private Limited with the Registrar of Companies, Karnataka vide CIN bearing No. U72200KA1991PTC012629.The Registered office of the Petitioner Company No.1/Demerged Company situated at No.37, Krishna Reddy Colony, Domlur Layout, Bengaluru-560071.

The main objects of the Petitioner Company No.1/Demerged Company is to to carry on business as processors, programmers, dealers and development of, in all kinds and descriptions of hi-tech software and systems for domestic and export markets including, without limiting the generality thereof computers, accounting and business machines, magnetic materials, video games, tapes, disc and all software and peripherals thereto, to carry on the business of consultants and advisers in the field of information technology, electronics and electrical engineering. The copy of Memorandum and Articles of Association of the Petitioner/Transferor Company No.1 is shown as **Annexure-B, C & D.**

The authorised share capital of the Petitioner Company No.1/Demerged Company as on 31st March, 2017 is Rs.10,00,00,000/- divided into 1,00,00,000 equity shares of Rs.10/- each. The issued, subscribed and paid-up share capital is Rs.9,07,50,000/- divided into 90,75,000 equity shares of Rs.10/- each. The Audited Balance Sheet of the Petitioner Company No.1/Demerged Company is **shown as Annexure-E.**

The Petitioner Company No.2/Resulting Company No.1 was incorporated on 11th May, 2016 under the name and style of Accord Global Technology solutions Private Limited with the Registrar of Companies, Karnataka vide CIN bearing No. U74999KA2016PTC093101.The Registered office of the Petitioner Company No.2/Resulting Company No.1 is situated at First Floor, No.613, 12th Main, HAL 2nd Stage, bengaluru-560008.

The main objects of the Petitioner Company No.2/Resulting Company No.1 is to to design, develop, test, stimulate manufacture, assemble, trade, contract, sub-contract, license, improve, maintain, service, supply, buy, sell, market, distribute, import, transport, export, exchange, support, implement or otherwise deal in all types of descriptions, shapes, sizes, capacities, volumes, varieties, specifications of software, hardware and all other materials/ products involving application of any kind of technology hardware/ software applications,

embedded systems, intellectual property based services, digital signal processing(DSP), computer aided system designing, semiconductor products, accessories, peripherals, add-ons, upgrades, telecommunication equipment, all kinds of software tools and all kinds of services for aerospace, avionics, logistics, transportation, consumer electronics, industrial electronics and other industries in India and abroad. The copy of Memorandum and Articles of Association of the Petitioner Company No.2/Resulting Company No.1 is shown as **Annexure-F, G & H.**

The latest authorized share capital of Petitioner Company No.2/Resulting Company No.1 is Rs.1,00,000/- divided into 10,000 Equity Shares of Rs.10/- each. The issued, subscribed and paid-up share capital is Rs.45,380/- divided into 4,538 Equity Shares of Rs.10/-each fully paid up. The Audited balance sheet as on 31st March, 2017 is shown as **Annexure-N.**

The Petitioner Company No.3/Resulting Company No.2 was incorporated on 30th May, 2016 under the name and style of Accord Ideation Private Limited with the Registrar of Companies, Karnataka vide CIN bearing No: U74999KA2016PTC093722.The Registered office of Petitioner Company No.3/Resulting Company No.2 is situated at First Floor, No.613, 12th Main, HAL 2nd Stage, Bengaluru-560008.

The main objects of the Petitioner Company No.3/Resulting Company no.2 is to engage in the research and development relating to information technology, global navigation satellite systems(GNSS), digital signal processing (DSP), navigation systems, embedded real time systems, validation systems, test tools and designing, developing, improving, modifying, customizing, contracting, marketing, licensing of intellectual property, know-how, developed or acquired, to carry on the business of developing, reproducing, marketing, consulting, processing, servicing, licensing or dealing in providing solutions in the field of navigation, communication, signal processing, embedded systems, software tools and hardware engineering. The copy of Memorandum and Articles of Association of the Petitioner Company No.3/Resulting Company No.2 is shown as **Annexure-K, L & M.**

The latest authorized share capital of Petitioner Company No.3/Resulting Company no.2 is Rs.1,00,000/- divided into 10,000 Equity Shares of Rs.10/- each. The issued, subscribed and paid-up share capital is Rs.45,380/- divided into 4,538 Equity Shares of Rs.10/-each fully paid up. The Audited balance sheet as on 31st March, 2017 is shown as **Annexure-N.**

It is further averred that the proposed demerger will benefit all the companies in the following manner:

i) Greater focus on individual core businesses and exploit the benefits of competencies.

ii) Improved organizational capability which recognises that the businesses have different economic characteristics, market segments, specialization and also provides flexibility for financing with capability for future growth.

The Board of Directors of the Petitioner Companies have approved and adopted a Scheme of Arrangement at its meeting held on 7th July, 2016 by virtue of which Global services Division and Ideation Division of Accord Software & Systems Private Limited (Demerged Company) are proposed to be demerged into Accord Global Technology Solutions Private Limited (Resulting Company No.1) and Accord Ideation Private Limited (Resulting CompanyNo.2) subject to confirmation. A copy of the Board Resolution of Petitioner Companies dated 7th July, 2016 in approving and adopting the Scheme of Arrangement is shown as **Annexure-O, P & Q.**

The Petitioner Companies had filed CA(CAA) No.25/BB/17 before this Tribunal to dispense with the convening of meeting of Shareholders and Secured Creditors of the Petitioner Companies and convening of meeting of Unsecured Creditors of Petitioner Company No.1. This Tribunal vide separate orders dated 1st August, 2017 read with order dated 8th August, 2017 allowed the application and directed the meeting of Unsecured Creditors of Petitioner Company be held on 25th September, 2017 at 10:00 A.M and dispensed with convening of meeting of Shareholders and Secured Creditors of the Petitioner Companies. Copy of the order passed by this Tribunal in CA(CAA) No.25/BB/17 is shown as **Annexure-R.**

The Petitioner Companies filed the petition bearing CP(CAA) No.73/BB/17 before this Tribunal for approving the scheme of Arrangement on 4th October, 2017.

This Tribunal vide order dated 24th November, 2017 in CP(CAA)No.73/BB/17 issued notice to Regional Director, Registrar of Companies and Income Tax Department and also directed to have an advertisement be published in the "The Hindu" and "Kannada Prabha" newspapers stating that the next date of hearing of the present petition was on 8th January, 2018. A Memo dated 8th January, 2018 has been filed at Page No.1-6 in CP(CAA)No.73/BB/17 furnishing the newspaper publications.

The Regional Director, Ministry of Corporate Affairs, South-East Region, Hyderabad represented by Registrar of Companies has filed Affidavit dated 12th January, 2018 making some observations:

a. Clause 20 of the scheme provides for clubbing of authorized capital of demerged company to the Resultant Company No.1 and Resultant Company No.2. Transfer of authorized capital of Demerged Company to Resultant Company is not permissible in law in the light of express provision of Section 232(3)(i) of the Companies Act, 2013. Section 232(3)(i) of Companies Act, 2013 does not apply to demerger cases as it explicitly provides that such clubbing is permitted only in case of merger and amalgamations. Hence, Hon'ble NCLT may like to adjudicate the issue.

Director of the Petitioner Company has filed Affidavit dated 22nd June, 2017 in furnishing response to the same, which are as follows:

1. It is submitted that the Section 232 (3)(i) or any other provision does not prohibit the transfer of authorized share capital to the Resulting Company from the Demerged Company and the same aspect has to be extended to even a demerger.

   It is stated that NCLT, Mumbai Bench passed order in Mahindra Two wheelers Limited and Mahindra & Mahindra where transfer of authorized share capital from the demerged company to the resulting company has been sanctioned in the case of demerger as an integral part of the scheme of arrangement regarding re-classification of the authorized share capital of the resulting company and the demerged company which includes transfer of authorized share capital from the demerged company to the resulting company without any liability for payment of additional fees or stamp duty in respect of such transfer as the stamp duty and fees has already been paid by the demerged company on such authorized share capital, the benefit of which stands vested in the resulting company pursuant to the scheme of Arrangement.

It is stated that NCLT, Chennai Bench passed order in SICAL Multimodal & Rail Transport Limited and SICAL Bangalore Logistics Park Limited- (CP 190 & 191/CAA/2017) Where transfer of authorized share capital from the demerged company to the resulting company has been sanctioned in the case of demerger as an integral part of the Scheme of Arrangement. Clause 8 of the NCLT order in the said case orders sanction of Clause 15 of the Scheme of Arrangement regarding re-organization and transfer of authorized share capital.

As per Section 232(3) (i) of Companies Act, 2013, fees paid by the Transferor Company on its authorised capital subsequent to the amalgamation. Considering the aforementioned judicial precedents and the specific provision provided for amalgamation, it is submitted that the same rationale for transfer of authorised share capital being transferred from demerged company to the resulting companies shall be applied. There is no loss of revenue to the exchequer as fees or stamp duty on the authorized share capital being transferred from demerged company to the resulting companies has already been paid by the demerged company.

The Authorised Signatory of the Petitioner Companies has filed another affidavit dated 21st February, 2018 stating that the Petitioner Companies accept to pay the requisite stamp duty and fees for the purpose of increase of authorised share capital of the Resulting Company no.1 and Resulting Company No.2. Further the Petitioner undertake not to transfer the authorized share capital from Demerged Company to the Resulting Company No.1 and Resulting Company No.2.

It is further submitted that the authorized share capital of the Resulting Company No.1 and Resulting Company No.2 shall be adequately enhanced pursuant to payment of applicable fees and stamp duty to accommodate the increase in authorized equity share capital before issuance and allotment of fully paid-up equity shares to the members of the Demerged Company pursuant to the Scheme.

Since authorised signatory filed affidavit of undertaking that the demerged company will not transfer authorised share capital from demerged company to resulting companies. Hence scheme can be approved.

The Counsel for the Petitioner Companies has furnished the certificate of the Chartered Accountant stating that the accounting treatment detailed in the aforesaid Scheme is in compliance with Accounting Standard-14 for Amalgamation as prescribed under Section 133 of the Act read with Rule 7 of the Companies (Account) Rules, 2014. The Certificate of the Charted Accountant is shown as **Annexure-T.**

Further the Director of the Petitioner Companies in his Affidavit dated 9th November, 2017 stated that there are no other approvals required from sectoral regulatory authorities, SEBI, CCI and Stock exchanges.

After hearing the counsel for the Petitioner Companies and also considering the materials on records the scheme appears to be fair, reasonable and is not detrimental against the Members or Creditors or contrary to public policy and the same can be approved.

THIS TRIBUNAL DO FURTHER ORDER

While Approving the Scheme as above, we further clarify that, this order should not be construed as an order in any way of granting exemption from payment of Stamp Duty, taxes or any other charges, if any, and payment in accordance with law or in respect to any permission/ compliance with any other requirement which may be specially required under any law.

The Whole of the property, rights and powers of the Global Services Division of Accord Software and Systems Private Limited (Demerged Company) be transferred without further act or deed to the Accord Global Technology Solutions Private Limited (Resulting Company No.1) and the whole of the property, rights and powers of the Ideation Division of Accord Software and Systems Private Limited (Demerged Company) be transferred without further act or deed to the Accord Ideation Private Limited (Resulting Company No.2) and accordingly the same shall pursuant to Section 232 of the Companies Act, 2013, be transferred to and vest in the Resulting Company for all the state and interest of the Demerged Company therein but subject nevertheless to all charges now affecting the same; and

All liabilities including taxes and charges, if any and duties of the Global Services Division of Accord Software and Systems Private Limited (Demerged Company) be

transferred without further act or deed to the Accord Global Technology Solutions Private Limited (Resulting Company No.1) and All liabilities including taxes and charges, if any and duties of the Ideation Division of Accord Software and Systems Private Limited (Demerged Company) be transferred without further act or deed to the Accord Ideation Private Limited (Resulting Company No.2) and accordingly the same shall pursuant to section 232 of the Companies Act, 2013, be transferred to and become the liabilities and duties of the Resulting Company; and

All proceedings now pending by or against the Global Services Division of Accord Software and Systems Private Limited (Demerged Company), if any, be continued by or against the Accord Global Technology Solutions Private Limited (Resulting Company No.1) and All proceedings now pending by or against the Ideation Division of Accord Software and Systems Private Limited (Demerged Company), if any, be continued by or against the Accord Ideation Private Limited (Resulting Company No.2) and

The tax implications, if any arising out of the scheme is subject to final decision of concerned Tax Authorities and the decision of the respective Tax Authority shall be binding.

The Petitioner Companies shall within thirty days of the date of the receipt of this order cause a certified copy of this order along with a copy of scheme of Arrangement to be delivered to the Registrar of Companies for registration in accordance with Rule 25 (7) of Companies (Compromises, Arrangements And Amalgamations) Rules, 2016.

The Scheme shall be effective from the appointed date as mentioned in the Scheme of Arrangement i.e., 1st April, 2017.

The Petitioner Companies should ensure compliance of its affidavit dated 21st February, 2018 and that authorised share capital of demerged company i.e. Accord software and Systems Pvt Ltd should not be transferred to resulting Companies No. 1 & 2.

The Global Services Division of Accord Software and Systems Private Limited (Demerged Company) and Ideation Division of Accord Software and Systems Private Limited (Demerged Company), or its authorised signatory is directed that after the completion of the process of Arrangement to handover the possession of the books of accounts and other relevant documents to Accord Global Technology Solutions Private Limited (Resulting Company No.1) and Accord Ideation Private Limited (Resulting Company No.2) respectively for the purpose of Section 239 of the Companies Act, 2013.

Any person shall be at the liberty to apply to this Tribunal in the above matter for any directions that may be necessary.

27/3/18

(ASHOK KUMAR MISHRA)
MEMBER, TECHNICAL

(RATAKONDA MURALI)
MEMBER, JUDICIAL